

SJS Enterprises Ltd

Concall Tracker — earnings-call read of the durable earning trigger & management consistency · Report date: 5 July 2026 · Ticker: SJS (Screener.in)

1. Snapshot

What the company does: SJS makes the decorative bits you see on the outside and inside of vehicles and appliances — logos and badges, instrument dials, chrome-plated trims, and modern "in-mould" decorated plastic panels. In plain terms, it is an *aesthetics supplier*: it does not make the car or the fridge, it makes the shiny, branded, good-looking parts stuck onto them. It sells to two-wheeler, car and consumer-appliance makers, and earns money by charging more as customers want fancier finishes ("premiumization").

Important data note. The financial spreadsheets Screener.in provides for SJS are the *standalone* parent-company accounts. Management runs and reports the business on a *consolidated* basis (parent + two subsidiaries: SJS Decoplast/Exotech for chrome-plating and Walter Pack India for in-mould decoration). The consolidated business is almost twice the size of standalone — e.g. Screener shows FY26 sales of ₹565 cr, but management reported consolidated FY26 revenue of ₹955 cr. **All figures below use the larger consolidated numbers from the calls**, which reflect the real business.

Measure (consolidated unless noted)	Figure	Plain-English read
Market value of the company	≈ ₹7,019 cr	What the whole company is worth on the stock market today.
FY26 revenue (year to Mar 2026)	₹955 cr, up 25.6%	Total sales for the latest year — grew about a quarter versus the year before.
FY26 net profit	₹172 cr, up 44.6%	Money left after all costs and tax — grew much faster than sales (margins improved).
FY26 operating margin (EBITDA)	≈ 30.1%	For every ₹100 of sales, about ₹30 is operating profit before interest, tax and wear-and-tear — a very healthy, high margin.
Return on capital (ROCE)	35.5%	For every ₹100 of capital in the business it earns ₹35.5 a year — excellent.
Return on equity (ROE)	19.5%	Profit earned on shareholders' money — strong.
Debt	Net cash ₹244 cr (debt only ₹7.7 cr)	Effectively debt-free; it holds more cash than it owes.
Valuation (P/E)	≈ 53x	The share price is about 53 times yearly profit — the market is pricing in a lot of future growth (expensive).

2. Concall coverage

SJS has a full, unbroken run of earnings calls since its 2021 listing — 20 transcripts are available on Screener (Feb 2022 to May 2026). To judge the trigger and consistency I read the oldest calls, a middle call, and all the freshest ones sequentially. **The latest call (Q4 FY26, held 6 May 2026) is present and was read in full.**

Quarter	Call date	Read?	Why chosen
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Q3 FY22	Feb 2022	Yes (full)	First-ever call — sets the baseline promises
Q4 FY22	May 2022	Yes (full)	First formal medium-term guidance
Q1 FY24	Jul 2023	Yes	Walter Pack India acquisition announced
Q2 FY25	Oct 2024	Yes	Mid-period check on delivery
Q1 FY26	Jul 2025	Yes	Hero MotoCorp win; start of the FY26 step-up
Q3 FY26	Jan 2026	Yes	Record quarter; BOE Varitronix display deal
Q4 & FY26	May 2026	Yes (full)	Latest call — full-year results & outlook

7 of 20 transcripts read closely, spanning the full ~4.5-year history from first listing to the latest quarter. Consistency read is therefore well-supported.

★ Latest concall highlights — Q4 & FY26 (6 May 2026)

- **Record results.** Q4 consolidated revenue ₹260 cr, up 29.7% on last year — the highest-ever quarter. Full-year FY26 revenue ₹955 cr, up 25.6% (sales grew about a quarter). FY26 net profit ₹172 cr, up 44.6% (profit grew nearly half — margins expanding).
- **Margins at a peak.** Q4 operating margin (EBITDA) hit 30.3%, up sharply — meaning richer, higher-value products and more exports lifted profitability.
- **New technology bet.** During the year SJS signed a technology-licence deal with BOE Varitronix (Hong Kong) to make automotive display screens (optical bonding / cover glass) in India — a new, higher-value product line beyond stickers and dials.
- **Balance sheet stronger.** Net cash ₹244 cr, credit rating upgraded to AA- (Positive), final dividend of ₹3.5 per share. Order book already covers over 85% of next year's (FY27) expected sales.
- **Tone: confident.** Management calls FY26 a "milestone year," claims 26 straight years of beating industry growth, and guides to keep beating the auto industry by 1.5–2× in FY27.

Business mix & capacity (quick glance)

Where sales come from (FY26): Passenger vehicles ≈ 41.7%, two-wheelers ≈ 38.3%, consumer appliances & others ≈ 20%. *Read: the company is now well spread across cars, bikes and appliances — no longer over-dependent on two-wheelers as it was at listing.*

Domestic vs exports (FY26): Exports ₹91 cr of ₹955 cr ≈ 9.5% of consolidated sales (grew 60% in the year). *Read: about a tenth of sales are overseas today. Management flags this understates the parent's export intensity because the two subsidiaries are almost entirely domestic. Target is 14–15% of sales from exports by FY28.*

Capacity use (Q4 FY26): Main Bangalore plant ~75% full (adding ~20% more, ₹45 cr); chrome-plating unit (SJS Decoplast) running 95%+ full — a new plant costing ₹100 cr is in final commissioning to roughly double it; Walter Pack ~75% full. *Read: the profitable core has room to grow, and the chrome business is effectively sold-out, so new capacity is going live just as demand needs it.*

★ 3. Earning Trigger thesis

The headline story: SJS's growth engine is *selling more, fancier decorative content on each vehicle and appliance*, on top of two boosts — winning big new customers (notably Hero MotoCorp, the world's largest two-wheeler maker, which it had never supplied before) and pushing into higher-value new products (in-mould decoration, chrome, and now car display screens) and exports. Because aesthetics/premiumization grows faster than the underlying auto industry, and because SJS keeps adding customers and products, it has beaten industry growth for 26 straight years. The evidence is real: FY26 revenue +25.6%, profit +44.6%, exports +60%, margins at record highs, order book covering 85% of next year. This is a concrete, live, and already-visible trigger, not a hope.

Trigger	What management said	Evidence so far	Time horizon	Strength
Premiumization — more decorative content per vehicle	Aesthetics market grows ~1.5× the auto industry; value beats volume	Beat industry for 26 straight quarters/years; FY26 sales +25.6% vs industry ~11%	Ongoing / structural	Strong
Hero MotoCorp win (new marquee customer)	~₹250 cr addressable parts spend; targeting a big share	Supplies began FY26; drove two-wheeler sales +32.7% in Q1 FY26	Ramping FY26–FY28	Strong (early but landed)
Exports	Large multi-year global badge program (N. America/Europe/LatAm); grow exports to 14–15% of sales by FY28	Exports +60% in FY26, but still only ~9.5% of sales; earlier 25%-by-2025 goal was missed	FY28	Moderate (growing fast off a low base; target already reset once)
New products — chrome, cover glass, car displays (BOE deal)	Move up the value chain; displays a "rapid-growth" new vertical	New-gen products ~24% of sales; display revenue only expected from FY27	FY27+	Moderate (chrome proven; displays unproven)
Bolt-on acquisitions (M&A)	Use net cash for value-accretive deals	Two deals done (Exotech, Walter Pack); both integrated, though Walter Pack had bumps	Opportunistic	Strong optionality (net cash + track record)

4. Management Consistency scorecard

Period / promise	What was promised	What actually happened	Verdict
FY22 (first calls)	"Double sales in 3 years" (FY22→FY25) and grow ~25% a year FY23–FY25	Consolidated FY22 ₹370 cr → FY25 ₹760 cr ≈ 2.05× (roughly doubled), helped by the Walter Pack purchase	Delivered
			Delivered

Since FY21 (listing)	High-growth, high-margin, high-return, debt-free story	~30% yearly growth over 5 years in sales, operating profit and net profit; margins rose ~26%→30%; still net cash; ROCE 35%	
May 2022 chrome-plating capex	Spend ~₹100 cr to lift chrome capacity from ₹130 cr to ₹300 cr within 18–24 months	Deferred by a year in 2023 to re-plan with Walter Pack; the ₹100 cr plant only reached "final commissioning" in FY26 — about 2 years late	Partly / delayed
Jul 2023 (Walter Pack year)	FY24 consolidated revenue "+50%", PAT "+40%" with 9 months of Walter Pack	Actual FY24 growth was materially lower than +50%; the acquisition helped but the near-term number over-promised	Missed (near-term over-promise)
2022 export goal	Grow exports to 25% of revenue by 2025	Exports were only ~8.5% in FY25 and ~9.5% in FY26; the target was quietly reset to 14–15% by FY28	Missed & reset
Walter Pack acquisition thesis	"Large, high-margin growth business at a good valuation"	Repeated soft quarters from customer/product concentration (Tata Motors, appliance model changes); margins dipped to ~19% at one point vs ~31% at purchase; now being "rationalized"	Partly (bumpy integration)
FY26 (latest)	Keep beating industry, expand margins, grow exports	Record revenue, profit and margins; exports +60%; 26th year of outperformance	Delivered

Narrative drift: The core story has been remarkably steady for 4.5 years — premiumization, new customers, new products, exports, and bolt-on M&A, all funded from cash. It has *evolved sensibly* (from a two-wheeler-heavy dial-maker into a balanced auto-plus-appliance aesthetics group, now adding car displays) rather than changing every year. The headline financial promises — doubling sales, ~30% compound growth, rising margins, staying debt-free — were **delivered**. The blemishes are honest to name: the 25%-exports-by-2025 goal was clearly missed and reset; the chrome-plating plant slipped ~2 years; the FY24 "+50%" guidance over-reached; and Walter Pack's integration was bumpier than the acquisition pitch suggested. Management is transparent about the soft spots on calls and does not hide them, but these are real misses on specific, quantified promises.

5. Bottom line — two verdicts

Durable earning trigger? → YES

There is a clear, concrete, still-live growth driver that is already showing up in the numbers, not just in slides. Rising decorative content per vehicle (premiumization) is structural; the Hero MotoCorp win adds a large, brand-new customer that is ramping now; exports are growing 60% a year; and the business keeps adding higher-value products (chrome, cover glass, car displays) with capacity going live to serve them. FY26 delivered +25.6% revenue and +44.6% profit with record margins and an order book covering 85% of next year. The trigger is strong and playing out. The main watch-items are that some legs (exports, displays) are still early or unproven, and the stock is priced richly (P/E ~53), so the trigger must keep delivering to justify the valuation.

Management consistent? → YES

On the things that matter most — growing sales, expanding margins, high returns, and a debt-free balance sheet — management has done what it said for 4.5 years running: roughly doubling revenue by FY25, compounding ~30% a year, lifting operating margins from ~26% to ~30%, and staying net-cash. The strategy has stayed steady and evolved sensibly rather than lurching. This is a genuine Yes, not a soft one. It is a Yes *with honest blemishes*: the 2022 promise of 25% of sales from exports by 2025 was clearly missed and reset to 14–15% by FY28; the chrome-plating plant arrived about two years late; the FY24 "+50%" guidance over-promised; and the Walter Pack acquisition integrated more bumpily than pitched. These keep it from being a flawless record — but they sit alongside consistent delivery of the core earnings promises and transparent commentary, so the balance is clearly positive.

Sources: SJS Enterprises earnings-call transcripts (Screener.in) — Q3 FY22 (Feb 2022), Q4 FY22 (May 2022), Q1 FY24 (Jul 2023), Q2 FY25 (Oct 2024), Q1 FY26 (Jul 2025), Q3 FY26 (Jan 2026), Q4/FY26 (May 2026); plus Screener standalone snapshot & financial tables (flagged as standalone). Consolidated figures are as stated by management on the calls.